Mader Group Limited (ASX: MAD)

Deep dive at A$5.46, 10 November 2026. All figures in Australian dollars unless stated. Numbers in square brackets refer to the source list at the end.

1. Verdict

Wait. At A$5.46 Mader passes two of the three rules and fails the second. My expected gain to 31 August 2028 is about 16.6% after costs, which clears the 12.9% hurdle, and my bad case is 23.6% below today's price, which is inside the 30% limit. But the middling case is only 25.7% above today's price, and the rule needs 1.5 times the bad-case fall, or 35.5%. The business itself is in good order: profit after tax has compounded at 28% a year for five years, the return on capital is about 25%, and the price is 17.6 times FY26 profit, the lowest multiple since 2021. What holds it back is that roughly 15 to 27 million shares could still come to market against a buy-back of about 5 million, the board will have no non-executive director after 24 November, the finance chief left with a day's notice, and the next staff share plan will cost several times what the last one did in the profit and loss account. The arithmetic says buy at A$5.24 or below. The shares traded at A$5.15 on 29 October and the company itself has paid as little as A$5.36.

2. What the market is missing

Most of the selling since February came from three sources that say little about the business (a United States fund leaving, 7.965 million bonus shares landing on about 44 staff who have tax to pay, and a 15.6% holder stepping off the board), and the buy-back that began on 30 October happens to be the founder's cheapest way back above 50%, so it is likely to be used.

The evidence. Capital Group sold 2.59 million shares between 28 August and 3 September 2026 at an average of A$6.25, including one block of 2.45 million, which took it below 5% [14]. It still held about 9.65 million shares at that point and no longer has to report sales; 4.86 million shares changed hands on 17 September, the largest day I found [24]. The bonus shares were issued on about 2 October at about A$6.50 [10][33]; the price was A$6.55 that day and A$5.87 two weeks later with no company news [19][24]. The founder's 103,800,690 shares were 51.0% of the company before the issue and are 49.1% after it [1]. He is back above 50% once shares on issue fall below 207.6 million, which takes a further 3.39 million shares, or about A$19m at A$5.60: two thirds of the A$30m buy-back. The share counts are on the record; the motive is my inference.

This explains the price. It does not prove the shares are cheap, and the selling is not finished (section 5).

3. Checking the brief

Item in the brief	What the filings show	Source
Price A$5.46, about 211m shares, market value about A$1.15bn	Correct. 203,461,728 shares at 30 June 2026 plus 7,965,000 issued in October = 211,426,728, less 439,051 bought back to 4 November = 210.99m. At A$5.46 that is A$1,152m.	[1][15]
Median trade about A$0.6m a day	Right for the 12 months as a whole (July and August 2026 days ran at 40,000 to 270,000 shares). Since September the average has been about 490,000 shares, or A$2.8m, a day.	[24]
Net cash A$35.7m at 30 June 2026	Correct: cash A$39.5m less borrowings A$3.8m. It leaves out A$5.3m of lease liabilities, and a new head office lease started on 1 July 2026.	[1] p.56, 92
Founder holds about half	Now 49.1%, below half for the first time, because of the October share issue.	[1] p.38
Shares peaked at A$8.83 in February 2026	Not the peak. A$8.83 was the close on 23 February 2026, the day before the half-year result. The record high is A$9.63, set in about late October 2025 (dated from 52-week ranges; I could not get the exact day). The fall from the record is 43%.	[19][24]
Departing director holds about 15.7%	33,018,000 shares = 15.6% of 211.4m (15.65% after the buy-back to date).	[1] p.99
FY26 revenue, profit, FY27 guidance, dividends, buy-back, AGM date	All correct. FY27 guidance also says profit carries a A$3m to A$4m cost for growth spending and a larger staff share plan.	[2][10][15]

4. What the price assumes

Terms: EBIT is profit before interest and tax; EBITDA adds back depreciation; free cash flow is cash from operations less spending on vehicles and equipment; enterprise value (EV) is market value less net cash; P/E is price divided by earnings per share.

Measure	FY26 actual	Multiple at A$5.46	FY27 guided or estimated	Multiple
Market value / EV	A$1,152m / A$1,116m (1,152 less 35.7)			
Profit after tax	A$65.4m	17.6 times (1,152 / 65.4)	At least A$72.5m (guidance)	15.9 times
EBIT	A$95.0m	11.7 times (1,116 / 95.0)	About A$104m (72.5 / 0.705 tax, plus A$1m interest)	10.8 times
EBITDA	A$120.7m	9.2 times	About A$131m (EBIT plus A$27m depreciation)	8.5 times
Free cash flow	A$57.5m (85.0 less 27.4)	19.4 times EV; 5.0% of market value	About A$62m (capital spending guided at A$30m to A$35m)	About 18 times

Sources: [1] p.55, 58; [2]. FY27 EBIT, EBITDA and free cash flow are my estimates from the profit guidance.

To earn 12.9% after 2% costs, the shares plus any dividends must be worth A$6.27 on 31 August 2028 (5.46 x 1.149). With about 207.5 million shares then and the multiple unchanged at 17.6 times, that needs FY28 profit of A$74m, growth of 6.4% a year from FY26 and only just above the FY27 guidance. If the multiple fell to 14 times, FY28 profit would have to be A$93m (19% a year). If profit simply follows guidance and then grows 12% (A$81m) at today's multiple, the price is A$6.87. So the price assumes either growth slows to mid single digits, or the multiple keeps falling. It does not assume the company's own 15% target.

Against its own history

Point	Price	Trailing earnings per share	P/E
April 2020 low (directors bought at A$0.61)	A$0.61	8.75c (FY20)	7 times
30 June 2021	A$0.96	9.65c	10 times
30 June 2022	A$2.92	13.97c	21 times
30 June 2023	A$4.91	19.25c	26 times
30 June 2024	A$6.36	25.2c	25 times
September 2024 low (chief executive bought at A$4.97)	A$4.97	25.2c	20 times
March 2025 low (founder bought at A$5.27)	A$5.27	26.0c	20 times
Record high, about late October 2025	A$9.63	28.35c (FY25)	34 times
23 February 2026, before the half-year result	A$8.83	30.3c	29 times
10 November 2026	A$5.46	32.18c (FY26)	17 times

Prices: 30 June closes from [3]; lows from directors' purchase prices in [18]; high from [24]. Earnings per share = reported profit / shares. The two earlier lows since 2022 were both at about 20 times; today is three turns lower. FY20 earnings per share is from memory of the accounts and not re-checked.

Against peers

EV to EBIT is the fairest single measure here, because EBIT is struck after depreciation, which is small for a business that sells labour by the hour and large for one that owns a mining fleet. Return on invested capital (ROIC) is profit as a percentage of the money tied up in the business.

Company	What it is	EV / EBIT	EV / EBITDA	P/E (trailing; forward)	ROIC	Price date
Mader	Hourly maintenance labour	11.7	9.2	17.6; 15.9	25%	10 Nov
Monadelphous	Maintenance and construction	15.9	12.5	23.6; 23.4	32%	14 Oct
SRG Global	Asset maintenance and engineering	17.7 on underlying EBITA; 21.0 statutory	13.7 underlying	33.7 statutory; 23.6	16%	14 Oct
Service Stream	Utilities and telecoms maintenance	17.9	10.5	24.7; 15.8	9%	22 Oct
NRW	Mining and civil, owns fleet	15.3	8.2	22.9; 17.0	18%	17 Sep
Macmahon	Contract mining, owns fleet	13.9	6.3	23.2; 17.9	14%	20 Oct
Perenti	Contract mining, owns fleet	8.3	4.0	26.5 statutory; 11.0	8%	7 Sep

Peer figures are from a data aggregator [26], used as a pointer, and the prices are three to nine weeks old. Statutory P/Es for SRG and Perenti are inflated by amortisation and one-offs, so the forward P/E is the better guide. SRG underlying figures use the A$131.8m EBITA and A$170.1m EBITDA it reported for FY26. I found no listed company in Australia or North America that sells mechanics by the hour at this scale; Programmed, the nearest, was taken over in 2017.

Mader trades below every peer except Perenti on EV to EBIT, with a return on capital second only to Monadelphous. A year ago it traded well above them.

5. Why the shares fell, and who is still to sell

Date	Move	Volume	News that day
24 Feb 2026	A$8.83 to A$8.50 (-3.7%); down 14.8% to about A$7.52 during the day	Not retrieved; 1.9m on 26 Feb	Half-year result: revenue up 18%, profit up 17%, EBITDA margin 11.6% from 12.5%, interim dividend stopped [6]
3 Mar	A$8.18 (-4.4%)	480,000	None found
10 to 13 Mar	To A$7.40 (-3.6% on the 13th)	Not retrieved	Executive director Conway sold 13,824 shares at A$8.12 on the 10th [18]
14 Jul to 13 Aug	A$7.64 to A$6.82 (-11%)	40,000 to 270,000 a day	None; a drift on thin volume ahead of the result [24]
25 Aug	A$7.24 to A$6.63 (-8.4%)	Not retrieved	FY26 result: no dividend, FY27 profit growth guided at 11%, 'industrial conglomerate' plan [2][3]
28 Aug to 3 Sep	About A$6.20 to A$6.25	2.45m block on 3 Sep	Capital Group sold 2.59m shares [14]
17 Sep	A$6.02 (+1.2%)	4.86m	None; four days before the buy-back window opened
15 Oct	A$5.87 (-4.6%)	903,000	None; 13 days after the bonus shares were issued
29 Oct	A$6.16 to A$5.50 (-10.7%); low A$5.15	2.43m	Finance chief stepped down that day; ASX price query [12][13]
6 Nov	A$5.50 (-2.8%)	460,000	None

Prices and volumes: [19][24]. This is not a complete daily record: I could not get a full price file, so falls between these dates may be missing.

Every holder and director notice I could trace

Who	Dealings (date, shares, price)	Holding now
Luke Mader, founder and executive chairman	He and his family sold 38m at A$1.00 in the 2019 float (the 50m offer less Skye Alba's 12m), leaving 112m. Bought 1.31m in March and April 2020 at A$0.61 to A$1.04 and 390,000 in March 2021 at A$0.85. Sold 10,000,000 on 19 June 2024 at A$6.15 (A$61.5m). Bought 103,595 in March 2025 at A$5.27 to A$5.97. No pledge of shares disclosed.	103,800,690 (49.1%)
Craig Burton (Skye Alba), director leaving on 24 November	Held 50m before the float; sold 12m into it at A$1.00. Bought 1.8m in April 2020 at A$0.61 to A$0.65 and 200,000 in March 2021 at A$0.905. Sold 1,000,000 on 2 March 2022 at A$2.24; 982,000 on 19 November 2024 at A$6.71; 1,000,000 on 27 February 2025 at A$6.15; 1,000,000 on 4 September 2025 at A$8.40; 3,000,000 on 12 September 2025 at A$8.40.	33,018,000 (15.6%)
Capital Group (United States fund)	Became a 5% holder in February 2025, buying at about A$6.10. Sold 578,259 in November 2025 at about A$8.14. Bought 286,369 in May 2026 at about A$8.02. Sold 2,592,445 from 28 August to 3 September 2026 at A$6.25 on average. Ceased to be a substantial holder (one with 5% or more) on 3 September.	About 9.65m at 3 September (4.7%); unknown since
Justin Nuich, chief executive	Sold 100,000 on 21 October 2024 at A$5.75 and 500,000 on 12 September 2025 at A$8.40 (after 881,516 shares vested to him). Buys about A$20,000 to A$30,000 of shares most half-years, most recently 3,000 at A$6.465 on 27 August 2026. Received 1,500,000 bonus shares on 2 October 2026. His wife pledged 1,000,000 shares to a lender on 24 June 2026.	About 2.75m (1.3%)
Staff, 2021 bonus scheme	7,965,000 shares issued 2 October 2026 to about 44 holders: 2.5m to three executives, 5.47m to others.	Unknown

Sources: [1] p.38, 49, 99; [14][16][17][18][33]. The founder's and Mr Burton's running totals reconcile to the holdings in the FY23 and FY26 annual reports. Notices before 2022 are included where I found them. The pledge is confirmed in the annual report (p.49); the lender's name comes from a press summary of the notice.

The departing director

Mr Burton has sold 18.98 million shares in total: 12 million in the float and 6.98 million since, for A$48.6m, with 5.98 million of that in the ten months to September 2025. He has not sold below A$6.15 since 2022. He holds 33.0 million, worth A$180m. Leaving the board does free him. A director must report every trade within five business days

and may deal only in the company's trading windows; a former director who still holds over 5% reports only when his holding moves by one percentage point, about 2.1 million shares, and the company's trading policy no longer binds him (insider-trading law still does). That is the law, not a forecast.

Two findings from outside the announcements. First, at 31 July 2026 only 13,018,000 of his shares were registered in Skye Alba's name; the other 20,000,000 sit behind a nominee. The register shows one nominee account for retail clients of a broker holding 21.2 million shares (10.4%) [1] p.100. The round 20 million gap is on the record; that they are in that broker account, a kind of account that can lend against shares, is my inference. Second, on his other ASX holdings: he was the largest holder of Cradle Resources (18.3%) and left its board in 2021 as a takeover offer completed, and he chaired Grand Gulf Energy until 2024 [35]. I could not trace what he did with those holdings afterwards, so I have no pattern to report.

Was any selling forced?

No sign of it. Short positions are 0.41 million shares, 0.7% of the free float [25]. Mader's governance statement says its audit committee only partly meets the ASX recommendation, which a member of the S&P;/ASX 300 index would not be allowed to do under Listing Rule 12.7; one data service lists it in the All Ordinaries only [24]. My inference is that it is not in the 300 and no index fund had to sell. I could not confirm index membership directly.

What could still come, against the buy-back

Seller	Shares that could come by August 2028	Reasoning
Mr Burton	8m to 15m	Sold 15% of his stake in ten months while a director; now freer; but has waited for prices above A$6
Capital Group	3m to 7m	Sold after buying at A$8 three months earlier; 9.65m left on 3 September; some probably went on 17 September
Staff with bonus shares	2m to 4m	Tax falls due on vesting; about 45% is often sold; some already sold in October
Former finance chief; pledged shares	0.5m to 1.5m	500,000 vested to him 27 days before he left; 1m pledged by the chief executive's wife
Total	About 15m to 27m (A$80m to A$150m)	30 to 55 days of recent volume
Buy-back	About 5.3m if all A$30m is spent near A$5.70	439,051 bought from 30 October to 4 November for A$2.49m (A$5.67 average); runs to 21 September 2027 [15]

The likely supply is three to five times the buy-back. The ranges are my estimates.

6. The quality of the earnings

A$m	FY22	FY23	1H24	2H24	1H25	2H25	1H26	2H26
Revenue	402.1	608.8	374.4	400.1	411.5	460.7	485.2	515.9
Gross margin	n/r	n/r	n/r	n/r	18.7%	18.9%	19.2%	19.9%
Administration costs	n/r	n/r	n/r	n/r	37.1	44.1	48.6	52.6
EBITDA	50.9	75.1	48.5	50.7	51.5	58.0	56.2	64.5
EBIT	41.8	58.1	n/r	n/r	39.3	44.7	44.1	50.9
Profit after tax	27.9	38.5	24.2	26.2	26.0	31.1	30.5	34.9
Operating cash flow	35.4	41.1	n/r	n/r	37.1	39.7	30.9	54.1
Vehicles and equipment (cash paid)	n/r	n/r	n/r	n/r	19.3	14.8	15.1	12.3
Lease payments	n/r	n/r	n/r	n/r	2.8	1.0	1.0	1.6
Free cash flow	n/r	n/r	FY24: 28.0		17.8	24.9	15.8	41.8

n/r = not retrieved. FY26 and FY25: annual report p.55 (income statement), p.58 (cash flows), note 5 (expenses) [1]; half-years: half-year report p.4, p.7, note 3 [5]; second halves are the year less the first half. FY24 and its halves: results releases [7][8] and the 1H24 release as reported by news wires. FY22 and FY23: FY23 annual report notes 5, 7 and 10 [9] (full years only; EBITDA is the segment-note total). FY24 free cash flow is derived from the FY25 statement that A$42.6m was up 52%. I could not get the FY22 to FY24 half-year reports or the FY24 annual report, so their gross margin, administration, cash flow and lease lines are missing. That is a gap against what you asked for.

Where the margin went

Not pricing or wages. Gross margin (revenue less the direct cost of the people doing the work) rose from 18.8% to 19.5%, so Mader charged out its labour at a wider spread than the year before. The slip is overhead: administration costs rose 24.5% against revenue growth of 14.8%, moving from 9.3% to 10.1% of revenue [1] p.55. By region, Australia's EBITDA margin fell from 12.0% to 11.6% and North America's from 19.0% to 17.5%, while head-office cost fell from A$8.1m to A$6.4m [1] note 7. Management put the first-half shortfall down to larger short-term bonuses [4]. Pay for the six key managers rose 55% to A$7.0m, including A$2.5m of cash long-term bonus [1] p.48.

Share-based pay

This is the main thing that makes profit look better than it is. The 2021 scheme delivered 11,426,728 new shares, 5.7% of the original 200 million: 1.875 million in 2024, 1.587 million in 2025 and 7.965 million in October 2026. At the prices on the days they were issued that is about A$74.6m of stock, plus cash bonuses on top. The profit and loss account carried about A$2m a year, roughly A$10m over five years (A$1.4m, A$3.0m, about A$2m, A$2.0m, A$2.0m) [1] note 20, [9] note 5. The gap arises because the rules value the awards on the day they are granted, and in August 2021 the shares were about A$1.

The new plan will be valued at about A$6.20 a right. The AGM is asked to approve up to 10,571,336 securities over three years (exactly 5.0% of shares on issue), plus 1,500,000 performance rights for the chief executive: 400,000 on an FY29 profit target, 800,000 on an FY31 target and 300,000 on strategic goals. The company values his grant at A$9.3m, or A$1.86m a year for five years [10]. The profit targets are not disclosed in the notice. If half the cap is granted on similar terms the annual charge is about A$8m before tax, against A$2m now; at the full cap, about A$15m. That is my estimate. FY27 guidance already absorbs part of it.

Other checks

- Receivables: debtor days were 67, two days better. Invoices more than 90 days old rose from A$3.7m to A$7.0m, still only 4% of trade receivables. Unbilled work was A$26.5m. The bad-debt allowance is A$1.1m [1] note 11.
- Cash flow timing: trade and other payables rose A$17.6m (24%) in a year when costs rose 14%, which helped the second-half free cash flow of A$41.8m. Some of that will reverse [1] p.56.
- Depreciation did not grow (A$25.7m against A$25.5m) while revenue grew 15%, so EBIT rose 13% against EBITDA's 10%. Cash spent on vehicles (A$27.4m) was close to depreciation, so I see no under-investment yet.
- Tax was 29.5% of pre-tax profit. Nothing unusual is carried on the balance sheet: no goodwill of note, no capitalised development costs.

FY27 guidance

Revenue is guided up 13% and profit up 11%. The company says A$3m to A$4m of profit is being spent by choice, on new lines and the larger share plan [2]. Without it, profit growth would be about 16% to 17%. The spending named on the results call: workshop space doubled to about 8,000 square metres, a defence business, senior hires in infrastructure and projects, and an Indigenous joint venture in rail and infrastructure [4].

7. Demand, and what happens in a downturn

What can be pieced together. By region: Australia 79.7% of revenue, North America 18.6%, rest of world 1.7%. By type: maintenance labour A$959.7m, costs recharged A$39.9m, hire A$1.5m. About 93% relates to mobile equipment in the pit and 7% (A$72m) to processing plant. The top five customers are about 28% of revenue and the top ten 36%; none is over 10% [1] p.35, note 4; [3]. There are more than 520 customers at 685 sites. Revenue by commodity is not disclosed in anything I read, which is a real gap for an iron ore question.

How miners treat this labour when prices fall: it is cut first at mines that close and kept elsewhere. The clearest case is on the record. In the second half of FY24 softer prices closed United States sites, Mader's people were sent home, and North American revenue fell 7% in FY25 [7][8]. Yet group profit rose 13% that year, because Australia grew 17% through the nickel and lithium closures in Western Australia. In 2020 border closures shrank the overseas business and group profit still rose, to A$19.3m in FY21 [4]. For 2015 and 2016 Mader was private; it says it has grown revenue for 20 years running, which I could not test. The spread across sites has protected it so far. It has not been tested by a fall in Pilbara iron ore volumes.

The outlook for the work. The Government's September 2026 forecasts have resource export earnings rising to A$422bn in 2026-27, then falling to A$391bn; Western Australia's budget assumes iron ore at US$85 a tonne this

year and US$72 after that [29]. Maintenance follows tonnes moved and truck hours, not price, and tonnes are steady: Rio Tinto guides to 323 to 338 million tonnes, BHP is lifting port capacity to 330 million, and replacement mines are being built [29]. Fortescue's shipments fell 6% in the September quarter, with a dispute with China's state buyer unresolved. Driverless trucks remove drivers, not mechanics. Electric drive changes the trade mix: 12% of Mader's workforce are electricians against 52% diesel mechanics [3].

Competition. BHP's in-house labour arm, Operations Services, lost its wage advantage when the Fair Work Commission ordered it to pay mine-agreement rates at three Queensland coal mines in 2025, upheld by the Full Federal Court on 19 December 2025 [27][28]. That makes bringing work in-house dearer, which helps Mader. I could not establish whether Operations Services is growing or shrinking in 2026, nor Mader's share against the equipment dealers. The only share evidence is indirect: Mader's Australian revenue grew 16% and headcount by more than 600 in a year when the listed maintenance peers also grew strongly.

Outside the filings, the evidence is thinner than you asked for. The web archive and the job board's history were blocked to me, so I have no time series of job advertisements. What I could see today: Mader advertises diesel mechanic roles at up to A$85 an hour plus superannuation; a job board estimates fitters at A$150,000 to A$190,000 a year; management says Canada alone has 150 to 200 unfilled roles [4][31]. These are on the record but are a snapshot.

8. Labour and regulation

Supply of mechanics. Mader has inducted 738 apprentices since 2019 and graduated 524. Apprentice intake fell from more than 190 in FY24 to 79 in FY25, which the company called timing [22]. Its internal transfer scheme moved more than 240 technicians between countries in FY26, mostly into North America [3]. Diesel mechanic is on the Government's core skills list for employer-sponsored visas, and the income threshold rose to A$79,423 on 1 July 2026, far below what Mader pays, so it does not bind [30]. I did not retrieve sponsor-level visa data.

Wages. Gross margin has risen in each of the last four half-years, so Mader has passed on wage rises in full and then some. I did not retrieve the official wage series.

'Same Job, Same Pay'. This law lets the Fair Work Commission order a labour supplier to pay at least the host mine's agreement rates. There is an exemption for contractors providing a service rather than labour. The courts have read it narrowly: pricing by the hour and working under the host's direction pointed to labour supply even for BHP's own subsidiary [27]. Mader charges by the hour on customers' sites, so I would not rely on the exemption. Two things limit the damage. An order only sets a floor, and Mader's advertised rates look at or above mine-agreement rates. And the orders so far are at unionised coal mines in Queensland and New South Wales. I searched the Commission's published orders and found none naming a Mader company, but the search was not exhaustive. Treat this as a cost and paperwork risk, not a threat to the model.

Payroll tax on contractors matters little because Mader employs its people directly. I did not research the Canadian and United States equivalents.

Staff views. One job board shows 2.9 out of 5 from 11 ratings, split between five-star and one-star, with 81% rating pay as high or average; another shows 3.4 out of 5 from 75 North American reviews [31]. Recurring complaints are about communication and promises at hiring, not pay. A third-party write-up puts staff turnover near 30%; I could not verify it [35].

9. North America

A$m	FY22	FY23	FY24	FY25	FY26
Revenue	50.1	132.2	177.8	166.1	186.6
EBITDA	10.1	23.2	n/r	31.8	32.8
EBITDA margin	20.1%	17.6%	n/r	19.0%	17.5%
Depreciation	n/r	n/r	n/r	12.1	9.6
Profit after tax	n/r	n/r	n/r	14.3	16.7

Sources: segment notes [1] note 7, [9] note 7; releases [7][8]. Margins use segment revenue including other income.

Revenue grew 12% (17% before currency) and EBITDA 3%. Profit after tax grew 17%, but only because depreciation fell A$2.5m as the 2022 and 2023 vehicle purchases aged. Canada and the United States are not split anywhere. What is said: the United States business started in 2018, lost sites in 2024 and saw conditions 'shift' again in the second half of FY26; Canada started in 2022, now covers ten provinces with more than 30 large customers including oil sands operators, and beat the company's own plan [1] p.21, [6]. The first-half margin was 17.0% and the second half 18.0%. My reading is that the squeeze is the cost of building Canada with expatriates plus idle time in the United States. Management calls a 20% margin 'in sight for FY27' and is adding electrical, fabrication and infrastructure work to what is 97% diesel mechanics [4].

Value: EBIT of A$23.2m at 8 to 10 times is A$185m to A$230m, about a fifth of enterprise value. To matter more it needs about A$250m of revenue at a 20% margin, which is A$50m of EBITDA against A$33m now.

10. The new plan and acquisitions

What has been said: the aim is a 'globally diversified industrial conglomerate'; earnings per share growth of about 15% a year for five years; margins held; capital spending of A$30m to A$50m a year before acquisitions; 'measured' debt; growth mostly organic, with purchases that are small ('acquire small, then scale hard') and described as springboards. Management said it 'probably could' reach 15% without buying anything, and that talks on two targets are advanced [3][4]. Bought so far: Wilson Hammond Group, a defence consultancy, on 23 July 2026 for A$2.25m plus up to A$3m later [1] p.92.

The newer lines: infrastructure maintenance grew 45% in FY26 and ancillary services 37%; in FY25 infrastructure grew 30%, rail 34% and road transport 65% [4][7]. Their revenue in dollars and their margins are not disclosed. Since 93% of revenue is still mobile-equipment work, together they are small.

Firepower: cash of perhaps A$60m to A$70m by mid 2027 (section 12), undrawn bank lines of A$118.7m, and a covenant allowing gross debt of 2.5 times EBITDA [1] note 17. Without new shares Mader could fund A$150m to A$250m; 'measured' suggests the lower end.

The record of others, from general knowledge and not re-checked today: SRG and NRW bought service businesses close to what they knew and were rewarded; Perenti (Barminco, DDH1) and Downer (Spotless) bought large and earned poor returns for years; Programmed's purchase of Skilled Group in 2015 was followed by falling profit and a takeover. What I can show from today's numbers is where the acquirers sit: returns on capital of 8% to 18% against Mader's 25% (section 4). Even a successful purchase is likely to pull Mader's return down.

My odds: 15% on a purchase above A$150m by August 2028, and about one in three that such a deal goes badly, so 5% overall. That is the core of my worse case.

11. Control, the board, pay and dilution

The board. After the AGM there will be three directors, all executives: Mr Mader, the chief executive Mr Nuich, and Mr Conway. Mader's own statement says none of its directors is independent, the chair is not independent, and both board committees are the whole board [11]. Mr Conway chairs the audit and risk committee and from 29 October is also interim finance chief, so the person preparing the accounts leads the committee that checks them. The company told shareholders in 2025 it would recruit an independent director once the new plan was set [22]. None has been named.

Related-party dealings are small: Mader billed A$843,121 to Premium Plant Hire, a company of Mr Mader's; paid A$142,170 to another of his entities and A$132,715 to an aviation company linked to Mr Nuich. No loans, and no property leased from directors [1] p.50, note 26.

The founder and a bid. He has said nothing on the record about taking Mader private; in 2025 he told shareholders he admires Gerry Harvey, who has kept Harvey Norman listed under family control for decades [22]. His actions point the same way: he sold A$61.5m of shares in 2024, started a buy-back, and is asking for a new listed share plan. Buying the 107 million shares he does not own at a 30% premium would cost about A$760m (107.2m x A$7.10). Debt of 3.5 times EBITDA covers about A$460m, so he would need a partner or Mr Burton to keep his shares. In a scheme of arrangement, a court-approved takeover needing 75% of the votes cast by the other holders, Mr Burton's stake is 30.7% of those shares, so he alone could block it. Nobody else can bid against a 49% holder. The nearest precedent is not encouraging: in 2023 the chairman of Pact Group, who held 50%, bid 68 cents against

a last price of 67.5 cents, raised it to 84 cents, never reached 90%, and minority holders were left in a thinly traded stock [32]. Deals where a founder teamed with private equity have paid 25% to 35% premiums (general knowledge, not re-checked). I put 10% on a bid by August 2028.

One point to check: the October issue moved the founder's voting power by 1.9 points, which normally requires a notice within two business days. I found none in the announcements between 2 October and 5 November [19]. It may have been lodged another way; it is worth a look.

AGM resolutions [10]: the pay report; re-election of Mr Conway; the share plan (the board makes no recommendation because its members stand to benefit); the chief executive's rights; and approval of termination benefits for three years. The founder can vote on the plan, so all will pass. The useful number is the protest among other holders; last year 8.3% voted against the pay report [23].

The finance chief. The announcement gave no reason, was effective the same day, and came 27 days after 500,000 shares (about A$3.3m) vested to him along with a A$500,000 cash bonus, and 26 days before the AGM [1] p.48, [12]. The company told the ASX it knew of nothing undisclosed and that business was as usual; it did not restate guidance [13]. As a non-director his sales are not reported. I have no data on outcomes after comparable exits; an unexplained same-day departure is a known warning sign and the price fall of 10.7% treats it as one.

Shares at 31 August 2028. Start: 211,426,728. Buy-back: I assume about A$22m is spent, 3.9 million shares, which is what puts the founder back at 50%. New awards: none vest before the FY29 test on the disclosed terms. Result: about 207.5 million, within a range of 206 million (buy-back completed) to 211 million (buy-back stopped for an acquisition).

12. Dividends and the cash

Franking credits (tax already paid that lets a dividend carry a tax credit) were A$13.3m at 30 June 2026, enough to frank A$31m of dividends, about 14.7 cents a share [1] note 9, and Australian tax payments add about A$25m a year on my estimate. Franking is no obstacle. The board says cash is being held for the five-year plan. Without a large purchase, I estimate net cash of about A$65m at June 2027 (35.7 + free cash flow of about 64 - leases 3 - buy-back 22 - small deals 7, with a range of A$55m to A$75m) and A$105m to A$125m at June 2028, about 55 cents a share. A board with that much idle cash, a founder who took about A$9m a year in dividends until 2025, and no deal would find it hard to keep paying nothing. To count for you a dividend must be paid by 31 August 2028, which means a final for FY27 (paid October 2027) or an interim for FY28 (April 2028). I put 40% on at least one, worth 4 to 9 cents in total.

13. Anything else

- The working capital bank facility of A$30m expires on 31 December 2026 and needs renewing; covenants were met [1] note 17.
- No contingent liabilities or legal claims are disclosed. The injury rate was 3.65 per million hours [1] note 22, [4].
- The auditor, BDO, was appointed in 2024 and changed its lead partner for FY26. Audit fees were A$553,105. The pay report gives diluted earnings per share as 30.70 cents where the accounts say 30.96 cents, and FY25 equity was restated between two reserves with no net effect. These are signs of a stretched finance team, not of anything worse [1] p.47, 60, 90.
- The currency cost A$0.8m of profit in FY26 [4].

14. The case for and against

For buying	Does the other side answer it?
Five years of 28% profit growth, every target met, return on capital of 25%, net cash.	Partly. The record is real, but it was built on one trade in one industry at the top of a mining cycle, and the next plan is a different business.
17.6 times profit is the lowest since 2021 and below every peer but one on EV to EBIT.	Partly. Profit has not carried the true cost of staff shares; on a full cost the multiple is one to two turns higher. Peer prices are weeks old.
The selling came from holders with their own reasons, and the company and the founder are now buyers.	No clean answer on cause, but supply still to come is three to five times the buy-back.
Cash builds to about 55 cents a share by mid 2028; a dividend can return.	Not answered if cash is kept idle; answered if it goes into a large purchase.

For buying	Does the other side answer it?
Gross margin is rising, so pricing power is intact; North America has room to recover to 20%.	Not answered. Overheads are the issue and guidance says they keep rising in FY27.

Against buying	Does the other side answer it?
No independent director; the interim finance chief chairs the audit committee; the finance chief left unexplained.	Not answered. The only reply is that the founder owns half and the numbers have been reliable since 2019.
'Industrial conglomerate' is how good niche businesses dilute their returns.	Partly. Management says purchases will be small and the first one cost A$2.25m.
Up to 5.7% more dilution, with profit hurdles shareholders cannot see.	Partly. Nothing vests before FY29, so it barely touches the share count by August 2028. The cost in the accounts does bite.
Iron ore is forecast to fall to US$72 and Mader has never been through a Pilbara volume cut.	Partly. Volumes, not prices, drive the work and volumes are guided flat to up. Untested all the same.
A founder at 50% can bid low or ignore minorities, as at Pact.	Not answered, except that he has been a seller, not a buyer, at these prices until now.

15. The three inputs that matter most

The chance that FY28 profit is below FY26's A$65.4m: 13%. FY27 is guided to at least A$72.5m by a company that has met or beaten every target for five years and whose profit margin has stayed between 6.3% and 6.8%. A fall needs profit about 20% below the path to A$81m. Mader has not had a down year since listing. The 13% covers a mining downturn that reaches the Pilbara, the share-plan charge, and a poor acquisition.

The multiple in August 2028: 17.5 times FY28 profit after tax, the same as today (11.5 times EBIT). The history since 2022 runs from 17 to 34 times and most peers are at 16 to 24 times forward, so there is room above. I do not assume a recovery because the reasons for the discount (board, overhang, conglomerate plan) will mostly still be there. Bad case 14 times, good case 21 times.

Shares on issue at August 2028: 207.5 million (range 206 to 211 million), as worked in section 11.

16. Outcomes for 31 August 2028

Case	What has to happen	FY28 profit; EBIT	Multiple (EBIT; P/E)	Net cash; shares	Value per share incl. dividends	Chance
Worse	A debt-funded purchase above A$150m disappoints while mining work softens; discount widens	A$50m; A$70m	8.0; 10.2	Net debt A$50m; 208.0m	A$2.45 (-55%)	7%
Bad	Overheads and the share plan outrun revenue, or Pilbara volumes are cut; profit slips below FY26; no dividend	A$62m; A$87m	9.0; 13.9	A$80m; 207.0m	A$4.17 (-24%)	20%
Middling	FY27 guidance met, then 12% growth; multiple unchanged; one small dividend	A$81m; A$113m	11.5; 17.5	A$115m; 207.5m	A$6.82 + 4.5c = A$6.86 (+26%)	53%
Good	15% a year achieved, North America back to 20% margins, overhang cleared, independent directors appointed, dividends back	A$90m; A$126m	14.0; 20.9	A$115m; 207.0m	A$9.08 + 9c = A$9.17 (+68%)	20%

Value per share = (EBIT x multiple + net cash) / shares. Example, middling: (113 x 11.5 + 115) / 207.5 = A$6.82.

Expected value: 0.07 x 2.45 + 0.20 x 4.17 + 0.53 x 6.86 + 0.20 x 9.17 = A$6.48, which is 18.6% above A$5.46, or **16.6% after 2% costs**.

Rule	Test at A$5.46	Result
1. Bad case no more than 30% below	A$4.17 is 23.6% below	Pass (note the 7% worse case at -55% sits outside this rule)
2. Middling case up by 1.5 times the bad-case fall, and at least 15%	Needs +35.5%; middling case is +25.7%	Fail
3. Expected gain after costs at least 12.9%	+16.6%	Pass

As a special situation: I do not think Mader is one. No bid or block sale has been announced, and the block sale that is likely would push the price down before it helped. If you label it one anyway, with 10% on a founder bid at A$7.80 (30% over an assumed A$6.00) and the other 90% at the A$6.48 above, the expected gain is 19.0% after costs, so rule 3 passes. That would be using the label to step round rules 1 and 2, and I would not.

17. Highest buy price, and what would change my mind

Highest price: **A$5.24**. That is where the middling case (+30.8%) equals 1.5 times the bad-case fall (20.5%). Rule 3 alone would allow A$5.63 and rule 1 A$5.95.

Date	Event	Would move me towards buying	Would move me towards rejecting
24 Nov 2026	AGM and any trading update	FY27 guidance restated; an independent director and a new audit chair named	No update; large protest vote ignored; profit hurdles still undisclosed
From 24 Nov	Mr Burton free of director rules	A block placed cleanly with institutions, removing the overhang; the dip is the entry	Steady on-market selling below A$6
Daily	Buy-back notices	Pace kept up towards 207.6m shares	Buy-back paused
31 Dec 2026	Bank facility renewal	Renewed on similar terms	A much larger facility, pointing to a big purchase
About 23 Feb 2027	Half-year result	Administration costs growing slower than revenue; North American margin at 19% or more; old receivables down	Guidance cut; margin below 11.5%; receivables over 90 days up again
Any time	Acquisition	Small, close to the core, paid in cash	Above A$150m, outside maintenance, or paid in shares
Any time	Permanent finance chief	An outside hire with listed-company experience	No hire by February, or another finance departure
Any time	Iron ore and the China buyer dispute	Pilbara guidance held	A producer cuts volumes or fleets
Late Aug 2027	FY27 result and dividend decision	Dividend restored	Cash held with no stated use

18. What I could not verify

- A full daily price and volume file. The list of falls and the 'median A$0.6m a day' rest on partial data. Your own price data will settle both, and the date of the A$9.63 high.
- Half-year gross margin, administration, cash flow and lease figures for FY22 to FY24; the FY24 annual report.
- Revenue by commodity; revenue and margins of the newer lines; the Canada and United States split.
- Job advertisements over time and archived careers pages (blocked); sponsor-level visa data; official wage series; Canadian and United States labour rules.
- Whether any Fair Work application names a Mader company; whether BHP's Operations Services is growing; Mader's market share.
- Index membership (inferred, not confirmed); Capital Group's holding after 3 September; whether staff and the former finance chief have sold; where 20 million of Mr Burton's shares are held (inferred).
- Mr Burton's dealings in other companies after leaving their boards; outcomes after comparable finance chief exits; the acquisition records of peers and founder buy-out premiums, which are from general knowledge.
- Whether the founder has lodged a substantial holder notice since 2 October.
- Several filings were read through a summarising tool, not page by page. Page and note numbers are as it reported them.

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